



Bank Alfalah

ALFA LEAD **ASSESSMENT** **CENTER**



Case Study
Solution Key



Part A: Crunch The Numbers

Q1: Will the bank reach 500,000 active cards by Dec 2026?

Formula: Closing = Opening + New Acquisitions – Attrition (2.5% of Opening). Channel rates step up each quarter.

Month	Qtr	Branch	Digital	Instant	Total New	Attrition	Closing Base
Jan 2026	Q1	7,200	4,800	—	12,000	11,525	461,475
Feb 2026	Q1	7,200	4,800	—	12,000	11,537	461,938
Mar 2026	Q1	7,200	4,800	—	12,000	11,548	462,390
Apr 2026	Q2	7,416	5,280	—	12,696	11,560	463,526
May 2026	Q2	7,416	5,280	—	12,696	11,588	464,634
Jun 2026	Q2	7,416	5,280	—	12,696	11,616	465,714
Jul 2026	Q3	7,638	5,808	3,000	16,446	11,643	470,518
Aug 2026	Q3	7,638	5,808	3,000	16,446	11,763	475,201
Sep 2026	Q3	7,638	5,808	3,000	16,446	11,880	479,768
Oct 2026	Q4	7,868	6,389	3,000	17,256	11,994	485,030
Nov 2026	Q4	7,868	6,389	3,000	17,256	12,126	490,160
Dec 2026	Q4	7,868	6,389	3,000	17,256	12,254	495,163

✗ Target NOT met. Projected: 495,163 | Target: 500,000 | Shortfall: ~4,837 cards (~1%)

Attrition grows from ~11,500 to ~12,250/month as the base expands, consuming about two-thirds of new acquisitions each month.

Q2: What digital growth rate would close the gap?

☑ Required: ~15% quarterly digital growth (vs. current 10%) — a 50% acceleration.

This would take digital acquisitions from 4,800/mo to ~7,275/mo by Q4, adding the ~5,000 extra cards needed.

Achievable through better app-based targeting, instant pre-approvals, and fintech partnerships — without violating the stated constraints.

Assessor note: Candidates don't need exact figures. Award full marks for correct methodology, a directional answer (target narrowly missed), recognizing attrition as the key drag, and identifying that a moderate digital push could close the gap.

Part B: Suggested 12-Month Growth Plan

This is the core deliverable. A strong candidate response should resemble a practical, phased plan — not a list of theoretical recommendations. Below is a model plan assessors can use as a benchmark. Candidates are not expected to match it exactly; assess the quality of their thinking, not the breadth of their coverage.

Step 1: Diagnose the problem

Before proposing solutions, strong candidates should identify why Tier 2/3 customers like Zara are being underserved. The key root causes are:

- Branch staff are trained for transactions, not for understanding what a customer might need. There is no habit or incentive to recommend products.



- The bank has years of salary and transaction data on customers like Zara, but none of it is being used to proactively offer her a card or loan.
- The application process is slow and paper-heavy. Competitors approve in 48 hours; Bank Alfalah takes 7–12 days. Customers give up or go elsewhere.
- Credit scoring is designed for big-city salaried profiles. It over-rejects people in smaller cities whose income is stable but structured differently.

What to look for: Does the candidate diagnose before prescribing? Do they connect Zara’s experience to a systemic issue rather than treating it as an anecdote?

Step 2: The plan itself — three phases

Phase	What to do	Why it matters	Resources needed
Phase 1: Months 1–3			
Quick wins	Use existing customer data to identify top salary-account holders who already qualify for a card or loan. Send them a pre-approved offer via SMS and the Alfa app — one tap to accept, no branch visit needed.	This is the fastest way to close the 5,000-card gap. The data already exists; it just isn’t being used. It also transforms Zara’s experience immediately.	Analytics team + Alfa app update. ~PKR 40–50M. No new hires needed.
Phase 2: Months 4–8			
Fix the branches	Pick 50 Tier 2/3 branches for a pilot. Give staff a 2-day training on consumer products. Assign product specialists from the 150-person headcount allowance. Change branch KPIs: reward staff for how many customers they help with new products, not how many transactions they process.	Branch staff currently have no reason and no ability to cross-sell. Changing incentives changes behavior. This is what turns a branch from a queue into a relationship.	Training + specialist salaries + new KPI system. ~PKR 60–70M.
Phase 3: Months 6–12			
New products for new customers	Launch a simpler entry-level credit card via the Alfa app: Urdu interface, video-based verification, WhatsApp support. Start customers with a small limit (PKR 25–50K) and increase it automatically if they pay on time for 3 months.	The current card product is designed for affluent urban customers. This creates a version that fits smaller-city realities — lower risk for the bank, easier entry for the customer.	Product development + digital marketing. ~PKR 50–60M.

Total estimated budget: PKR 150–180M (within the PKR 200M constraint).

What to look for: Does the plan have a logical sequence? Are early phases designed for quick impact and later phases for deeper change? Does the candidate explain why they chose these actions over alternatives? Do they connect back to the constraints?

Step 3: How this makes Bank Alfalah different

Strong candidates should articulate how this plan helps Bank Alfalah compete, without using jargon like “value proposition” or “competitive moat.” The simple version:

- Against bigger banks (HBL, Meezan): Bank Alfalah can be faster. Pre-approved offers and instant digital cards mean customers get answers in minutes, not days. Against Meezan specifically, the bank already has 449 Islamic branches and an Islamic version of the Alfa app — but most customers don’t know that.



- Against fintechs (SadaPay, Qist Bazaar): Fintechs are simpler, but they can't offer revolving credit, auto loans, or a long-term banking relationship. The credit card is the gateway — once someone has a card and builds a history, they can grow into bigger products. That's something no fintech can match.

What to look for: Can the candidate think about competition practically? Do they recognize that different competitors require different responses?

Step 4: What could go wrong + safeguards

The main risk is that pushing for more card approvals leads to lending to people who can't repay. Strong candidates should identify this without being asked and suggest practical safeguards:

Risk	Warning sign	What to do about it
Too many new cardholders default early	More than 8% of new cardholders miss their first payment	Review who is being approved; tighten criteria for riskiest segment
Customers get cards but never use them	Less than 60% of approved cards are activated within 60 days	Improve onboarding communication; check if the product fits the customer
NPL rate creeps toward the 5% ceiling	Portfolio overdue rate crosses 3.5% for any monthly intake group	Pause new approvals from highest-risk channel until investigated
Growth is costing too much to sustain	Acquisition cost rising >15% each quarter without better customer quality	Shift budget from paid campaigns to organic (pre-approved, branch referral)

What to look for: Does the candidate think about risk naturally, or only when prompted? Do they suggest realistic safeguards rather than vague statements like "we should monitor things carefully"?

Step 5: How to know if the plan is working

Candidates should suggest simple success measures, not a complex dashboard. A strong answer might include:

- Are we closing the 5,000-card gap month by month?
- Are the new cards being activated and used, or sitting dormant?
- Is the NPL rate staying below 5%?
- Are Tier 2/3 branch staff actually cross-selling more than before?
- Are customers like Zara having a noticeably better experience (faster approvals, fewer rejections)?

What to look for: Are the success measures practical and connected to the plan, or are they generic KPIs that could apply to any business?